



CFE Informational Circular IC06-05

April 7, 2006

To: Current and Prospective Trading Privilege Holders

From: CBOE Futures Exchange (CFE)

Re: CFE Gas At The Pump Futures Market Maker Incentive Program

CFE is announcing a revised market maker incentive program for the CFE Gas At The Pump (GAPP) futures contracts that CFE plans to implement on May 1, 2006. Attached is the CFE Policy and Procedure that CFE plans to submit to the CFTC which outlines the revised program.

Applications for participation in the revised program must be submitted by Friday, April 21, 2006. Applications should include a firm's proposed commitments, experience in index derivatives trading, capitalization and other information the firm deems relevant. Current participants in the market maker incentive program for GAPP futures, including DPMs in GAPP futures, that desire to participate in the revised program must submit an application to be considered for participation.

CFE will review all applications received and determine which firms to appoint to the revised program, notifying each applicant on or before Monday, May 1, 2006. Please direct any questions regarding the revised program to Patrick Fay at 312-786-7925 (fayp@cboe.com) or Jay Caauwe at 877-226-3773 (caauwe@cboe.com).

CFE Policy and Procedure IX.

CFE Gas At The Pump Futures Market Maker Program

Trading Privilege Holders (TPHs) may apply to the Exchange for appointment as a market maker in CFE Gas At The Pump futures contracts ("GAPP Futures"). Any TPH that desires to apply for market maker status should submit an application in the form of a letter outlining the organization's qualifications and commitments.

The Exchange may approve one TPH that is a DPM in GAPP Futures to participate in the Program as a DPM participant and one TPH that may or may not be a DPM in GAPP Futures to participate in the Program as a market maker participant. The DPM participant in the Program and the market maker participant in the Program will each be considered a market maker under the Program. TPHs shall be selected by the Exchange to participate in the Program based on the Exchange's judgment as to which applicants are most qualified to perform the functions of a market maker in GAPP Futures. Factors to be considered in making this selection may include, but are not limited to, satisfaction of the qualifications listed below as well as any one or more of the factors listed in Rule 515(b), as applied to Program applicants instead of with respect to applicants to be approved as a DPM.

The following describes the qualifications, obligations, incentive, and appointment term under the CFE Gas At The Pump Futures Market Maker Program. The obligations and incentive listed below are with respect to all of the GAPP Futures.

Qualifications

- Experience in trading options and/or futures in energy related contracts.
- Ability to automatically and systemically provide quotations.

Obligations

- For no less than 65% of the available trading hours in each calendar month, provide continuous bids and offers in two contract months in each GAPP Future.
- In each GAPP Future, provide an average quoted size of no less than 5 contracts (over a calendar month) and provide a minimum quoted size at all times of at least 2 contracts.

These obligations are subject to relief in the event of a fast market on the Exchange in the applicable futures contract, a fast market in a related futures product, or other unusual market conditions (to be determined solely by the Exchange). Under fast market or unusual conditions, a market maker is expected to quote competitively using its best efforts.

The Exchange may terminate, place conditions upon, or otherwise limit a TPH's appointment as a market maker under this Program if the TPH fails to perform its obligations under the Program. However, failure of a TPH to comply with its obligations under this Program shall not be deemed a violation of Exchange rules.

Incentive

Designated Primary Market Maker Participant

- Payment of \$0.50 per executed contract, with a minimum stipend of \$8,000 per month and cap of \$14,000 per month.

Market Maker Participant

- Payment of \$0.50 per executed contract, with a cap of \$6,000 per month.

Term

- Each market maker appointment under the CFE Gas At The Pump Futures Market Maker Program will expire on September 30, 2006. The Exchange may determine to extend the term of an appointment, allow an appointment to expire, or replace this Program with a different market-maker program.